

Advanced Guide: Dividends & Corporate Actions in the Indian Stock Market

This guide explains corporate actions in the Indian stock market with a deep focus on dividends. It covers dividend types, dividend timelines, price behavior around corporate events, historical patterns, and the most common companies that issue dividends regularly. The goal is to provide a structured learning document for investors and traders who want to understand how dividend events influence stock prices.

1. Major Corporate Actions in the Stock Market

Corporate Action	Explanation
Dividend	Cash distribution from company profit to shareholders
Bonus Issue	Free additional shares issued to existing shareholders
Stock Split	Existing shares divided into smaller shares
Rights Issue	Discounted shares offered to existing shareholders
Buyback	Company repurchases its own shares from investors

Corporate actions are strategic decisions made by companies that directly impact shareholders. Understanding these events is important because they often influence stock price movement and liquidity.

2. Types of Dividends

- 1 Interim Dividend – declared during the financial year.
- 2 Final Dividend – declared after the financial year results.
- 3 Special Dividend – extra payout when the company has surplus cash.

In India, companies often declare interim dividends along with quarterly results. Final dividends are typically declared after the annual results of the company.

3. Dividend Flow (Timeline)

Step	Explanation
Announcement Date	Board declares dividend amount
Ex-Dividend Date	Last day to buy shares to receive dividend
Record Date	Company checks shareholder list
Payment Date	Dividend credited to bank accounts

Most dividends are paid within 30 days after declaration. However many companies release payments within 7–20 days after the record date.

4. Dividend Yield

Dividend yield measures how much income an investor receives relative to the stock price.

Dividend Yield Range	Interpretation
0.1% – 1%	Low dividend
1% – 3%	Moderate dividend
3% – 6%	Good dividend yield
6% – 10%	High dividend yield

5. Example Dividend Event Timeline

Event	Example Date
Dividend Announcement	5 Feb
Ex-  Dividend Date	11 Feb
Record Date	11 Feb
Dividend Payment	Early March

6. Typical Stock Price Behaviour Around Dividends

- 1 Prices sometimes rise after dividend announcement.
- 2 Stock price adjusts downward on the ex-dividend date.
- 3 Strong companies often recover the price within days or weeks.

7. High Dividend Sectors in India

- 1 PSU energy companies
- 2 Mining companies
- 3 Oil & gas companies
- 4 Utility companies

8. Examples of High Dividend Companies

Company	Typical Dividend Yield
Coal India	5–10%
Power Grid	4–7%
ONGC	4–6%
REC Ltd	5–9%
Hindustan Zinc	8–15%

9. Where to Track Dividend Announcements

Dividend announcements are first published on stock exchange filings. Traders typically monitor exchange websites and financial data platforms to track upcoming dividend events.

10. Key Takeaways

- 1 Dividends are not free profit because prices adjust on the ex-dividend date.
- 2 Corporate actions influence stock liquidity and trading behavior.
- 3 Dividend yield depends on share price at the time of declaration.
- 4 High dividend companies often belong to mature sectors.